AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Life Time Group Holdings

NYSE : LTH · Mature-Company DCF

16 May 2026 · the qualitative

$33.61

$7.46B mkt cap · 222M sh · $0.23B cash, $1.29B net debt · BB- credit

THE CENTRAL QUESTION

Is Life Time a premium wellness platform with durable luxury economics — or a leveraged real estate vehicle whose positive FCF depends on perpetual $400M/year sale-leasebacks?

LTH trades at $33.61 ($7.5B mkt cap) on TTM revenue $3.0B and Adj EBITDA $824M (27.5% margin). 190+ premium athletic clubs, 891K members, 12-14 luxury openings/yr. But FY25 FCF $206M required $400M of sale-leaseback proceeds offsetting $870M capex — ex-SLB, operating FCF is zero. Bear: capital recycling unsustainable, leveraged real estate vehicle. Bull: luxury wellness category-of-one, SLB is smart financing. Today's price requires bull-case execution. Three scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

$21.88 expected fair value today
-34.9% vs spot $33.61

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$32.85	$49.38	$74.34	$112.09
0.98× spot	1.47× spot	2.21× spot	3.33× spot

WEIGHTING RATIONALE

Bear 20% SLB-as-capital-recycling thesis structurally coherent but lacks traction vs FY24/25 execution.

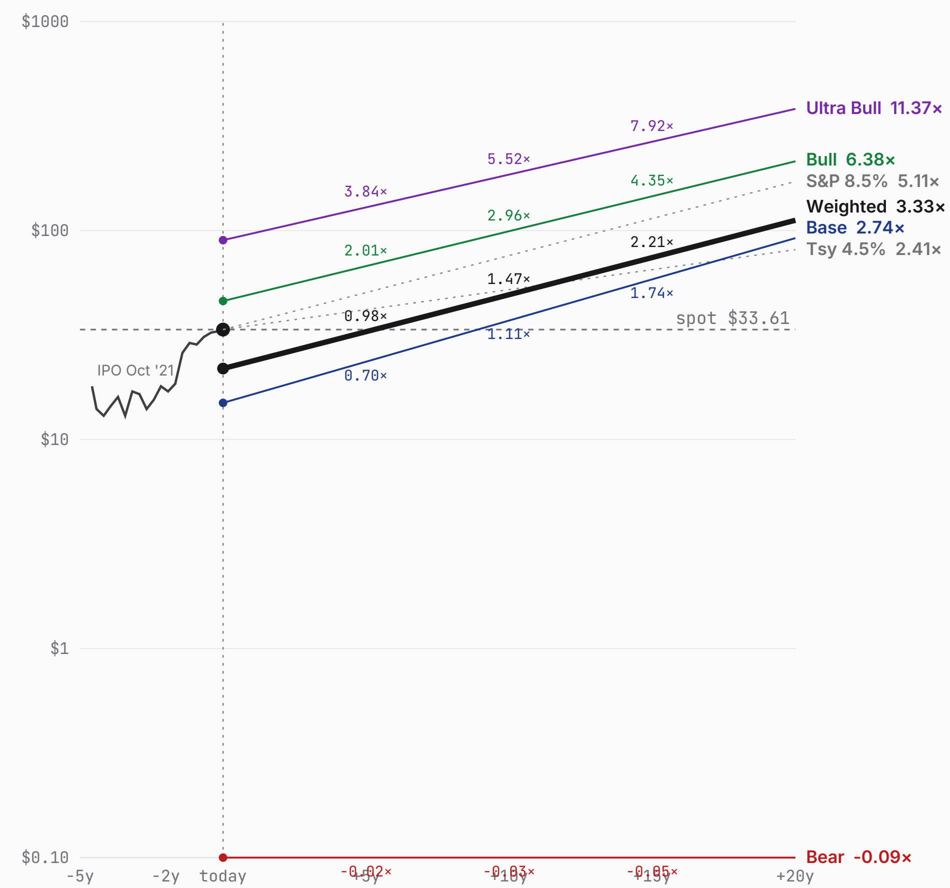
Base 55% Modal outcome: LTH executes guidance, leverage stays in target.

Bull 20% Luxury wellness platform compounds; category-of-one; multiple expansion requires execution AND re-rating.

Ultra Bull 5% 250+ clubs by 2030 + ARPU $6,500 + SLB self-funded + multiple re-rates to 15x EV/EBITDA.

Bull (20%) + Ultra Bull (5%) together contribute $13.71 — 63% of the $21.88 expected value despite 25% combined probability. Today's spot ($33.61) sits 35% above the weighted expected, but forward-weighted value crosses spot between +5y and +10y: today below spot, but compounding asymmetric bet positive over time.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



BEAR

$-0.36
-101.1% vs spot

CAGR 5.1% WACC 11.0%
SLB $0.9B Prob 20%

Capital recycling, not earnings.

BASE

$14.99
-55.4% vs spot

CAGR 7.8% WACC 9.5%
SLB $1.7B Prob 55%

Premium platform, leveraged structure.

BULL

$46.04
+37.0% vs spot

CAGR 9.8% WACC 8.0%
SLB $2.0B Prob 20%

Luxury wellness platform compounds.

ULTRA BULL

$90.00
+167.8% vs spot

CAGR 12.0% WACC 7.5%
SLB $3.0B Prob 5%

Luxury category-of-one; 15x re-rate.

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Life Time Group Holdings scenario narratives

PROBABILITY WEIGHTS

Bear 20% Base 55% Bull 20% Ultra Bull 5% · Weighted expected $21.88 (-34.9% vs spot)

BEAR $-0.36

-101.1% vs spot

Probability 20%

Capital recycling, not earnings.

WHY 20%

Bearish thesis is structurally coherent: LTH's headline FCF is dependent on SLB proceeds (~$400M/yr); strip those out and operating FCF is barely positive. Cumulative SLB program is finite (~$2B remaining); each SLB trades one-time cash for permanent rent increase. Net debt + capitalized lease obligations near $4B. If macro slows and luxury fitness spend compresses, FCF margin drops, stock works to $20-25. The 20% weight reflects that this thesis bumps against LTH's actual track record: FY24/25 execution strong, recent S&P upgrade validates the credit story, and new luxury club economics ($25-35M revenue vs $15-20M legacy) genuinely change the unit math.

WHAT HAPPENS

The pessimistic case is straightforward. LTH only delivers 'positive FCF' after $400M/year of sale-leaseback proceeds. Strip those out and operating FCF is barely positive — FY25 OCF $870M minus capex ~$870M equals zero before SLB. The reported $206M FY25 FCF is essentially $400M of real estate proceeds offset against expansion capex. This is capital recycling reported as cash generation.

The SLB program is finite. LTH has ~190 clubs, of which perhaps 40-50 remain owned outright after cumulative SLB transactions. At $40M average per club, that's roughly $2B of remaining real estate runway. At the planned $400M/year pace, the tap closes in 4-5 years — exactly the DCF horizon. Meanwhile rent obligations from prior SLBs (~$300M/yr and growing) compound — every SLB trades a one-time cash inflow for a permanent operating expense increase.

BASE $14.99

-55.4% vs spot

Probability 55%

Premium platform, leveraged structure.

WHY 55%

Modal outcome. LTH executes guidance: revenue grows 11% FY26, decelerating to mid-single-digits. EBITDA margin holds 28-30% (top quartile for consumer services). New 2026 club openings (1.2M sq ft, mostly luxury) mature over 3-4 years. SLB cadence holds for 2-3 more years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target. The 55% weight reflects that this requires the least faith — sequential execution on plans already in motion. The base case is well-run but priced for steady-state execution; the multiple stays compressed.

WHAT HAPPENS

The middle path takes LTH's recent execution at face value. Revenue grows 11% in FY26 per guidance, decelerating to mid-single-digits as the base builds. Adjusted EBITDA margin holds in the 28-30% range — top quartile for consumer services. Average revenue per membership grows from $3,531 toward $4,000 as new luxury clubs ramp at higher price points.

New club economics are unique: 1.2M sq ft of 2026 openings is concentrated in resort-style luxury formats generating $25-35M annual revenue at maturity vs $15-20M for legacy. Maturation takes 3-4 years; 2026 openings contribute meaningfully only by 2028-29. SLB cadence holds at $300-400M for 2-3 years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target.

BULL $46.04

+37.0% vs spot

Probability 20%

Luxury wellness platform compounds.

WHY 20%

Multi-decade luxury wellness platform compounding. LTH is genuinely a category-of-one — no other US operator at premium luxury athletic country club scale (Equinox is private and smaller; gym chains are budget-positioned; boutique concepts are single-discipline). In-center revenue (Dynamic PT, MIORA hormone optimization, swim lessons, pickleball clinics, spa, cafe) compounds faster than dues. EBITDA margin expands toward 30%+ as new-club mix shifts to higher-revenue luxury formats. The SLB flywheel sustains: 12-14 new luxury clubs/year become future SLB inventory 5-7 years later. The 25% weight reflects that multiple expansion (15x P/E to 22-25x) is plausible but requires both execution AND market re-rating — the conjunction is demanding.

WHAT HAPPENS

The bull case is that Life Time is a category of one. There is no other US operator at the premium luxury athletic country club scale — Equinox is private and smaller, gym chains are budget-positioned, boutique concepts are single-discipline. LTH's 'Country Club' positioning combines fitness, racquet sports, kids, pools, dining, work-from-club spaces, and recovery in a single membership.

In-center revenue compounds faster than membership dues — Dynamic Personal Training, swim lessons, pickleball clinics, MIORA hormone optimization, Life Spa, Life Cafe. In-center revenue per member grows from $1,050 toward $1,400-1,500. SLB program sustains: as LTH opens 12-14 new luxury clubs/year, each becomes future SLB inventory 5-7 years later. The flywheel: build → operate → SLB → recycle.

ULTRA BULL $90.00

+167.8% vs spot

Probability 5%

Luxury category-of-one; 15x re-rate.

WHY 5%

Joint conditional: 250+ clubs by 2030 (40%) AND ARPU $6,500+ achieved via medspa/recovery upsell (50% conditional on club growth) AND SLB self-funded with bank capital (60%) AND multiple expansion to 15x EV/EBITDA (50%). Joint at 4-6%, reflected here at 5%. Tail of tails: LTH stops being a 'leveraged real estate compounder' and becomes a 'luxury wellness software-like compounder.'

WHAT HAPPENS

The ultra-bull case is that LTH compounds as the dominant luxury wellness platform AND the market re-rates. Network grows 191 → 250 clubs by 2030 at 15+ new clubs/year (vs 12-14 base). Average member spend rises from $4,500 to $6,500 annually as ultra-luxury services (medspa, nutrition science, recovery) drive ARPU. SLB program self-funds at 6% cap rate with bank financing. EBITDA grows to $1.5B+ by 2030.

Multiple expands from 9x EV/EBITDA (current) to 15x as growth story consolidates and capital structure de-risks. Result: $22.5B EV - $1.3B net debt = $21.2B equity ÷ 235M FY30 shares = $90/share. The ultra-bull case requires BOTH operational excellence AND multiple re-rating — most LTH bulls only price one of these.

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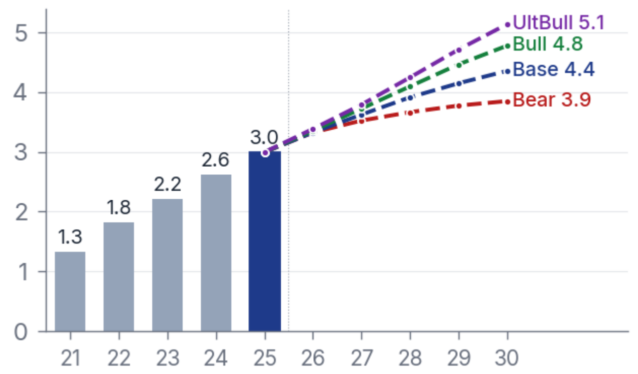
16 May 2026 · the snapshot

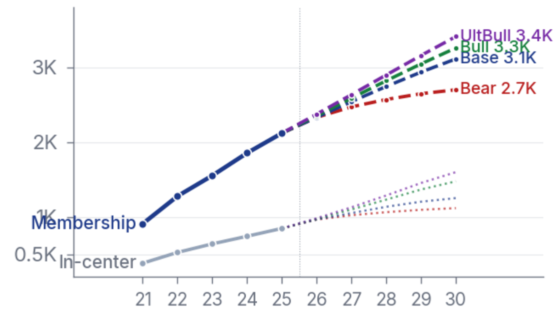
Life Time Group Holdings business snapshot

FY23–FY25 history + FY26–FY30 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1 2026 10-Q, S&P credit reports

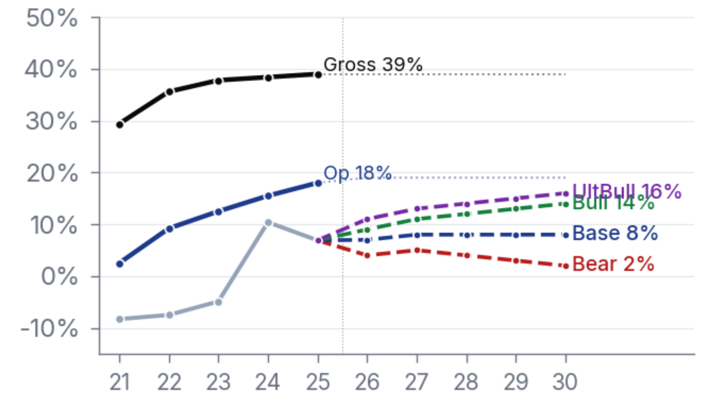
Revenue ($B) — history + scenario projections to FY30



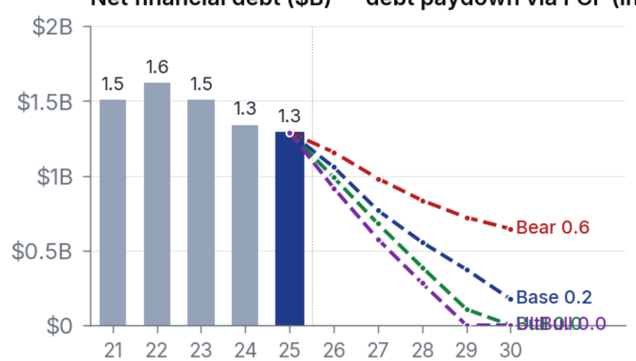
Revenue by segment ($M) — dashed Membership, dotted In-center



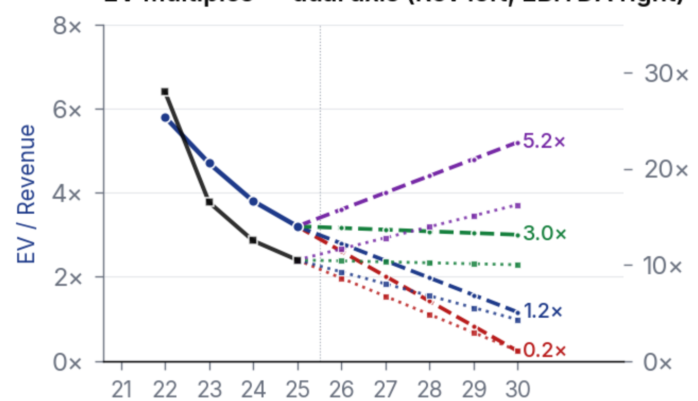
Margin trends — dashed = FCF margin scenarios



Net financial debt ($B) — debt paydown via FCF (incl. SLB)

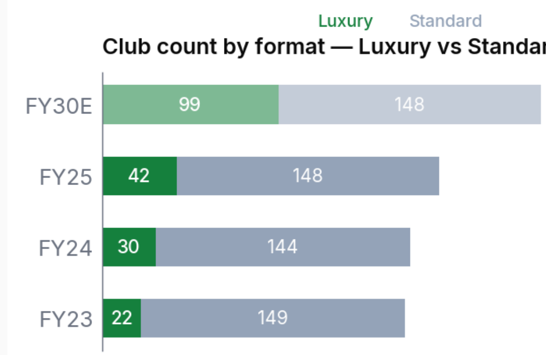


EV multiples — dual axis (Rev left, EBITDA right)



Solid line = EV/Rev (left). Square markers + dotted = EV/EBITDA (right).

Club count by format — Luxury vs Standard



FY30E: scenario average. Luxury clubs are the growth engine; +5-13 added per year.

Sources: LTH 10-K FY25, Q1 2026 10-Q, S&P / Moody's credit reports, REIT comparables for SLB cap rates. Projections per JSX v003 scenario assumptions. Mature peer anchors: premium consumer services (28-30% EBITDA margin range).

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LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Life Time Group Holdings show your work

Bear $-0.36 Base $14.99 Bull $46.04 · Weighted $21.88 (-34.9%)

BEAR $-0.36

ASSUMPTIONS

Base revenue ($B)	3.00
5-yr revenue CAGR (%)	5.1
FY30 op margin (%)	14.0
WACC (%)	11.0
Terminal growth (%)	1.5
5-yr SLB total ($B)	0.95
Net debt ($B)	1.29
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Growth	Op M%	FCF	PV FCF
FY26	+11%	17.5%	+0.13	+0.12
FY27	+6%	17.0%	+0.18	+0.14
FY28	+4%	16.0%	+0.15	+0.11
FY29	+3%	15.0%	+0.11	+0.07
FY30	+2%	14.0%	+0.08	+0.05
Σ PV explicit FCF				**+0.49**
+ PV terminal (g 1.5%)				0.49

EQUITY BUILD · $B & per share

Operating EV	$0.98B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	**$-0.08B**
÷ Shares out (M)	222
= Expected per share	**$-0.36**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$-0.61	$-1.02	$-1.72	$-2.90
-0.02×	-0.03×	-0.05×	-0.09×

BASE $14.99

ASSUMPTIONS

Base revenue ($B)	3.00
5-yr revenue CAGR (%)	7.8
FY30 op margin (%)	19.0
WACC (%)	9.5
Terminal growth (%)	2.5
5-yr SLB total ($B)	1.70
Net debt ($B)	1.29
Scenario probability (%)	55

5-YEAR DCF · $B

FY	Growth	Op M%	FCF	PV FCF
FY26	+11%	18.0%	+0.23	+0.21
FY27	+9%	18.5%	+0.29	+0.24
FY28	+8%	18.8%	+0.31	+0.24
FY29	+6%	19.0%	+0.33	+0.23
FY30	+5%	19.0%	+0.35	+0.22
Σ PV explicit FCF				**+1.14**
+ PV terminal (g 2.5%)				3.24

EQUITY BUILD · $B & per share

Operating EV	$4.39B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	**$3.33B**
÷ Shares out (M)	222
= Expected per share	**$14.99**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$23.60	$37.15	$58.48	$92.06
0.70×	1.11×	1.74×	2.74×

BULL $46.04

ASSUMPTIONS

Base revenue ($B)	3.00
5-yr revenue CAGR (%)	9.8
FY30 op margin (%)	22.0
WACC (%)	8.0
Terminal growth (%)	3.0
5-yr SLB total ($B)	2.00
Net debt ($B)	1.29
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Growth	Op M%	FCF	PV FCF
FY26	+12%	18.5%	+0.30	+0.28
FY27	+11%	19.5%	+0.41	+0.35
FY28	+10%	20.5%	+0.49	+0.39
FY29	+9%	21.5%	+0.58	+0.43
FY30	+7%	22.0%	+0.67	+0.46
Σ PV explicit FCF				**+1.90**
+ PV terminal (g 3.0%)				9.38

EQUITY BUILD · $B & per share

Operating EV	$11.28B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	**$10.22B**
÷ Shares out (M)	222
= Expected per share	**$46.04**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$67.65	$99.40	$146.05	$214.59
2.01×	2.96×	4.35×	6.38×

ULTRA BULL $90.00

ASSUMPTIONS

Base revenue ($B)	3.00
5-yr revenue CAGR (%)	12.0
FY30 op margin (%)	33.0
WACC (%)	7.5
Terminal growth (%)	3.5
5-yr SLB total ($B)	3.00
Net debt ($B)	1.29
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Growth	Op M%	FCF	PV FCF
FY26	+12%	29.0%	+0.35	+0.33
FY27	+13%	30.0%	+0.50	+0.43
FY28	+13%	31.0%	+0.70	+0.56
FY29	+12%	32.0%	+0.90	+0.67
FY30	+10%	33.0%	+1.10	+0.76
Σ PV explicit FCF				**+2.75**
+ PV terminal (g 3.5%)				20.90

EQUITY BUILD · $B & per share

Operating EV	$23.65B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	**$22.59B**
÷ Shares out (M)	235
= Expected per share	**$90.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$129.21	$185.49	$266.30	$382.31
3.84×	5.52×	7.92×	11.37×

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Life Time Group Holdings supporting analysis · disclaimers · glossary

Bear $-0.36 Base $14.99 Bull $46.04

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Track record is strong.** FY24-25 execution delivered guidance; S&P upgrade validates credit. Removes the leveraged-real-estate-vehicle framing.

2 **New club economics shift mix.** 1.2M sq ft of 2026 luxury openings generate $25-35M revenue vs $15-20M legacy. Unit economics improving, not deteriorating.

3 **Category-of-one positioning.** No US operator at LTH's premium luxury athletic country club scale. Equinox private + smaller; gym chains budget; boutiques single-discipline.

4 **In-center monetization compounds.** Dynamic PT, MIORA, pickleball, spa, cafe — in-center revenue per member growing from $1,050 toward $1,400-1,500. High-margin, recurring.

5 **SLB flywheel sustains.** New clubs become future SLB inventory in 5-7 years. Cadence of $400M/yr can persist as long as new construction continues.

FALSIFICATION TRIGGERS

Bear validation
FY27 revenue growth < 5% · SLB cadence < $300M/yr · Net debt / EBITDA > 2.5x · Credit rating downgraded below BB-

Bull validation
FY27 revenue growth > 9% · EBITDA margin > 30% · In-center revenue per member > $1,250 · P/E multiple expands above 18x

Reframe needed
If Equinox or comparable luxury operator IPOs at premium multiple — establishes valuation comparable for LTH multiple expansion

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Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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The author may own, intend to acquire, or hold short exposure to $LTH or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

SLB — Sale-leaseback. LTH sells owned club property to a REIT and leases it back. Converts capital to liquidity;

MIORA — Hormone optimization and longevity service line. New higher-margin in-center revenue category,

Athletic Country Club — LTH's positioning — luxury multi-discipline format combining fitness, racquet sports,

In-center revenue — Revenue beyond membership dues: PT, classes, spa, cafe, retail. Currently ~30% of

Dynamic PT — Personalized training program. Highest-margin in-center revenue stream and a key

Lease-adjusted leverage — Per ASC 842, capitalized operating lease liabilities included in total obligations.